

Reserve Bank of India - Annual Report 2024

Overview of Indian Economy

The Indian economy demonstrated remarkable resilience in FY2024 amid global uncertainties. Real GDP growth stood at 7.2%, driven by robust domestic consumption, strong capital expenditure by the government, and a revival in the manufacturing sector. India remained one of the fastest-growing major economies in the world.

The services sector continued to be the backbone of the economy, contributing approximately 54% to the GDP. The agriculture sector showed steady growth at 3.5%, supported by adequate monsoon rainfall and government support schemes.

Monetary Policy

The Monetary Policy Committee (MPC) maintained the repo rate at 6.50% throughout most of FY2024. CPI inflation averaged 5.4% in FY2024, above the RBI target of 4% but within the upper tolerance limit of 6%. Food inflation remained elevated due to supply-side disruptions, while core inflation showed a declining trend.

Banking Sector Performance

Credit Growth

Bank credit grew at 16.3% year-on-year as of March 2024, the highest in over a decade. Retail loans, particularly home loans and personal loans, were the primary drivers of credit growth. The gross non-performing assets (GNPA) ratio declined to a multi-year low of 3.2% in March 2024.

Capital Adequacy

The capital to risk-weighted assets ratio (CRAR) of scheduled commercial banks stood at 16.8% in March 2024, well above the regulatory minimum of 9%. India's foreign exchange reserves stood at USD 645 billion as of March 2024, providing approximately 11 months of import cover.

Digital Payments and Fintech

UPI Transactions

Unified Payments Interface (UPI) recorded a transaction volume of 131 billion in FY2024, with a total value of Rs. 200 lakh crore. This represents a growth of 56% in volume over the previous year. The number of UPI-enabled apps increased to over 50 across India.

RBI Digital Initiatives

The Reserve Bank of India launched the Central Bank Digital Currency (CBDC) pilot known as the Digital Rupee for both wholesale and retail segments. Over 1 million customers and 260,000 merchants were onboarded on the retail Digital Rupee platform as of March 2024.

Inflation and Price Stability

Consumer Price Index

CPI headline inflation moderated to 4.9% in March 2024 from a peak of 7.4% in July 2023. Vegetable prices saw significant moderation. Core inflation excluding food and fuel declined steadily to 3.2% by March 2024. The RBI projects CPI inflation at 4.5% for FY2025.

External Sector

India's current account deficit narrowed to 1.2% of GDP in FY2024 from 2.0% in FY2023, supported by strong services exports and robust remittances. India received foreign direct investment inflows of USD 71 billion in FY2024.

Economic Outlook for FY2025

Growth Projections

The Reserve Bank of India projects real GDP growth at 7.0% for FY2025, supported by strong domestic demand and government capital expenditure. Manufacturing and construction sectors are expected to be key growth drivers. Global headwinds including geopolitical tensions pose downside risks.

Financial Inclusion

Under the Pradhan Mantri Jan Dhan Yojana (PMJDY), over 510 million bank accounts have been opened as of March 2024. Total deposits in PMJDY accounts stood at Rs. 2.3 lakh crore. The RBI remains committed to expanding banking access across rural and semi-urban areas.

Policy Priorities

The RBI key policy priorities for FY2025 include maintaining price stability, supporting sustainable growth, ensuring financial stability, promoting digital payments, strengthening cybersecurity in the financial sector, and enhancing financial inclusion through expanded banking and credit access to underserved populations.